

## Although inflation continues to decelerate, Stressed (IPC Phase 2) outcomes are expected throughout the country

### Key Messages

- Stressed (IPC Phase 2) outcomes are likely to persist at area level as a result of the economic crisis. Despite a reduction in the population in need due to exchange rate stability, a lower inflation rate, and the reactivation of economic and agricultural activities, a portion of very poor households will continue to be in Crisis (IPC Phase 3). These households, distributed in urban and peri-urban areas, especially in Zulia, Anzoátegui, Monagas and Sucre, do not have sources of income in USD or consistent access to social programs, affecting their purchasing power. However, some households should improve their situation in the following months thanks to seasonality in rural areas and an increase in economic activity and bonuses in urban areas.
- Between May and June 2024, headline inflation decreased from 59.2 percent to 51.4 percent, while food inflation decreased from 53.0 percent to 47.9 percent. The decreases for both headline and food inflation are significant compared to in June 2023, when they were 404.4 and 414.1 percent, respectively. These improvements in inflation are reflected in minimal variations (less than 5 percent) in the simple and diversified diets compared to May 2024. The cereal and oil diet cost 107.77 USD in June and the diversified diet stood at 235.81 USD in the same month, equivalent in VED of 4,331.26 and 9,477.17, respectively. This was due to the exchange intervention of the Central Bank of Venezuela (BCV), the reactivation of oil production in association with Chevron, which increased the supply of foreign currency, and government measures to increase tax collection.
- The start of the electoral campaign **on July 4th** has led to a significant increase in public spending, with a likely 35 percent increase in July compared to June. July monthly spending is estimated at USD 2.1 billion, equivalent to VED 80 billion, according to Síntesis Financiera. In electoral contexts, public spending is focused on improving existing social programs such as CLAP and Cesta Ticket, among others. These increases in public investment, both the increase in the content of the CLAP and the payment of vacation bonuses for public employees, and other expenses associated with the electoral campaign and the celebrations of national holidays are temporarily improving access to food for the population.
- In agricultural areas of the country, the main planting of maize and the secondary planting of rice continue to develop while vegetable, cassava, and plantain crops are being harvested. This is maintaining food availability

Projected area-level acute food insecurity outcomes, July - September 2024



Projected area-level acute food insecurity outcomes, October 2024 - January 2025



#### IPC 3.1 acute food insecurity classification

##### National level data

Highest IPC classification in areas of concern within the country

- 1: Minimal
- 2: Stressed
- 3+: Crisis or higher

##### Symbols

! Would likely be at least one phase worse without current or planned humanitarian food assistance

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners. For full disclosure, see endnotes.

Source: FEWS NET

and increasing the demand for agricultural labor in rural areas. In the second quarter of 2024, **production and imports of maize, rice, and wheat** have increased significantly. Rice imports from the United States reached 100,000 metric tons (MT), and maize imports are expected to continue to grow through September to cover a demand of 1.2 million MT. Despite a 5 percent decrease in wheat imports, the local industry has used additive blends to compete with imports. The domestic market needs to import an additional 700,000 MT of maize and rice to maintain food stability. According to the USDA, production has increased by 10 percent compared to the previous quarter, ensuring food availability in the country.

- Over the past 30 days, rainfall in Venezuela has ranged between 75 and 500 mm, helping to mitigate previous deficits and recover water levels in rivers and reservoirs within the country. In the northwest, especially in the coastal region near the border with Colombia, vegetation indices are above average, while they are normal in most of the country with a few localized areas experiencing below-average vegetation health. Rainfall is expected to continue across the country, despite high temperatures, which are not expected to affect agricultural production gains. However, heavy rainfall could cause flooding and landslides, especially in the center of the country.

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\* FEWS NET classification is **IPC**-compatible with limited exceptions. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners. As of IPC 3.0, the IPC no longer assesses the impact of food assistance on classification and thus no longer maps the (!). However, FEWS NET continues to produce food security maps inclusive of the (!) as well as maps compatible with IPC 3.0/3.1, which include the mapping of food security assistance bags. In rare cases, FEWS NET classification is IPC-aligned but not IPC-compatible. IPC-aligned analysis is evidence-based but some types of evidence required for IPC-compatibility were not available.

#### Key Message Update

This Key Message Update provides a high-level analysis of current acute food insecurity conditions and any changes to FEWS NET's latest projection of acute food insecurity outcomes in the specified geography. Learn more [here](#).